WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

IRAQ

Middle East

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Baghdad	Federal capital; seat of the government, the Central Bank of Iraq and the National Investment Commission, and Iraq's largest consumer market	Financial services, construction, housing, retail
Basra and the southern oilfields	Source of most of Iraq's crude exports through the Basra terminals, which pushed October 2026 exports above 3.4 million barrels a day; home to TotalEnergies' Gas Growth Integrated Project	Oil and gas, gas capture, power, oilfield services
Grand Faw Port and the Development Road	A port of about $4.6 billion planned to handle 99 million tonnes a year, anchoring a road and rail corridor to the Turkish border; the first 62 km road section is complete	Port logistics, transport infrastructure, construction
Erbil (Kurdistan Region)	Capital of the Kurdistan Regional Government, whose investment law allows 100% foreign ownership, 10-year tax holidays and land ownership	Real estate, tourism, agriculture, manufacturing, services
Kurdistan oilfields and the Iraq–Turkey pipeline	Northern fields restored output to around 220,000–230,000 barrels a day by August 2026, and the pipeline to Ceyhan carried about 250,000 barrels a day of Iraqi crude in September	Upstream oil and gas, pipelines, energy services
Kirkuk and Nineveh (north)	Northern oil and reconstruction region; Kirkuk and Qayara crude feed the northern export route, and Nineveh hosts a federal free zone	Oil, agriculture, reconstruction, light industry
Federal free zones (Khor al-Zubair, Nineveh, Baghdad, Fallujah)	Designated zones offering a customs and tax framework for trading and manufacturing activity	Logistics, warehousing, manufacturing

INVESTOR ENTRY ROUTES

- National Investment Commission (NIC), a cabinet-level body with a One Stop Shop for licences, visas, customs and registration, supported by Provincial Investment Commissions

- Investment Law No. 13 of 2006, guaranteeing national treatment and repatriation of capital and profits, with ten-year tax exemptions and three-year import-fee exemptions for licensed projects; foreign ownership is generally capped at 49% outside licensed projects, and government land can be leased for up to 50 years
- Kurdistan Region Investment Law No. 4 of 2006, administered by the Kurdistan Board of Investment, permitting 100% foreign ownership, land ownership and 10-year tax holidays
- Federal free zones at Khor al-Zubair (Basra), Nineveh, Baghdad and Fallujah for trading, logistics and manufacturing projects
- Central Bank of Iraq oversight of foreign exchange: the official rate was adjusted on 7 October 2026 to IQD 1,510 per dollar for bank sales, domestic transactions must be in dinars, and cross-border dollar transfers run through the CBI's monitored platform
- Energy-sector entry through Ministry of Oil contracts with state companies such as Basra Oil Company, as in the TotalEnergies–QatarEnergy Gas Growth Integrated Project
- Investor protection through Iraq's membership of ICSID and the 1958 New York Convention, with a dedicated commercial court for foreign-investor disputes

MARKET-ENTRY OBSERVATION

Iraq in October 2026 is in a strong recovery phase. As OPEC's second-largest producer, it has restored crude exports to more than 3.4 million barrels a day so far in October, close to the 3.3–3.5 million barrels a day shipped before the regional war, from about 32 million barrels a month in May and June. The IMF's October 2026 World Economic Outlook projects a double-digit contraction in 2026 followed by a double-digit expansion in 2027 as output and logistics recover, while inflation remains contained at 3.3% in August 2026. The government of Prime Minister Ali al-Zaidi, confirmed by parliament in May 2026, has made economic diversification, investment promotion and banking-sector reform core priorities, and on 7 October 2026 the Central Bank of Iraq adjusted the dinar by about 15% to strengthen domestic industry and attract investment into non-oil sectors. Flagship projects, including the TotalEnergies-led Gas Growth Integrated Project, with 1 GW of solar and Ratawi output rising to 210,000 barrels a day by 2028, and the Grand Faw Port and Development Road, signal long-term international confidence.

Iraq's central structural challenge is its reliance on oil, which provides around 90% of government revenue, and on a single maritime route: about 80% of exports passed through the Strait of Hormuz before the conflict that began on 28 February 2026. Monthly oil revenue fell from $6.8 billion in February to about $2.3 billion in May and June, delaying some public salaries, and CBI reserves eased from $97.4 billion to $86.2 billion in the first half of 2026, still covering about 9.6 months of imports. Baghdad has responded practically: it extended the Iraq–Turkey pipeline agreement for a year with a 750,000 barrel-a-day target, began trucking crude through Syria, moved its own crude past Hormuz on a state-owned tanker and plans 5 million barrels a day of export capacity through new pipelines to Fishkhabour and Baniyas. This diversification drive, together with the push to broaden the non-oil economy, is creating sustained demand for investment in pipelines, ports, storage, power and manufacturing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US sanctions on Iran-linked armed groups and networks	The US Treasury has designated Kataib Hezbollah figures, the Muhandis General Company (October 2025) and, in September 2026, nine individuals and two Baghdad companies for moving funds to Iran via Iraqi private banks; US sanctions on Iran also apply to Iran-linked dealings	Retain sanctions counsel, screen all partners and beneficial owners against OFAC and UK lists, and avoid entities linked to designated groups; Baghdad has directed banks to enforce US designations
US dollar access and banking-sector compliance	Iraq's oil revenues are held at the Federal Reserve Bank of New York; US cash shipments were paused in early 2026 and resumed by July, and the CBI bars 32 banks from dollar transactions	Bank with institutions in good standing with the CBI and international correspondents, check CBI restriction lists, and use letters of credit for large payments
Export-route concentration	Most crude still leaves Basra through the Strait of Hormuz, although exports have recovered to more than 3.4 million barrels a day in October 2026	New pipeline, trucking and tanker options are steadily reducing concentration and creating investment demand in midstream and logistics

Issue	Potential Impact	Possible Mitigation
Fiscal dependence on oil revenue	Oil provides around 90% of revenue, and the 2026 revenue shortfall delayed some salaries and state payments	Structure contracts with secured payment mechanisms or DFI support; the recovery in exports is restoring fiscal capacity
Exchange-rate adjustment and parallel market	The CBI adjusted the official rate by about 15% in October 2026, and a parallel market rate exists alongside it	Hedge dinar exposure and price contracts carefully; the new rate improves competitiveness for local manufacturing and exporters
Governance, bureaucracy and contract enforcement	Iraq ranked 140th of 180 on the 2024 Corruption Perceptions Index, and investors cite registration, customs and tax-assessment delays	Use the NIC One Stop Shop or the Kurdistan Board of Investment, include international arbitration clauses, and rely on ICSID and New York Convention protections
Security and federal–regional relations	Drone strikes in 2026 interrupted Kurdistan oilfields, and arrangements between Baghdad and Erbil require ongoing negotiation	Production restarted at all fields except Sarsang by August 2026; take security advice and confirm federal and regional approvals for each project

INVESTOR RISK NOTE

Iraq is not subject to comprehensive country-wide sanctions, but sanctions compliance is a central part of any engagement. The United States continues to designate Iran-aligned armed groups such as Kataib Hezbollah, affiliated companies including the Muhandis General Company, and individuals using Iraqi banks to move funds to Iran, and US sanctions on Iran itself apply to Iran-linked transactions. Dollar access is also a practical consideration, since Iraq's oil revenues are held at the Federal Reserve Bank of New York and the CBI restricts listed banks from dollar business. Investors should therefore take specialist legal and sanctions advice, screen counterparties and beneficial owners, and select banking partners carefully. Within this framework the outlook is constructive: exports are back near pre-war levels, the al-Zaidi government is pursuing a state monopoly on weapons and closer economic ties with Washington, Iraq has instructed its banks to enforce US designations, and the IMF expects a strong rebound in 2027. Investors who build in compliance and payment safeguards are well placed for Iraq's recovery and diversification.

MARKET ACCESS

Iraq is OPEC's second-largest producer, giving it long-standing commercial relationships with major energy buyers. It is not yet a WTO member, but the government has revived its accession effort, and Iraq is expanding non-dollar trade settlement with China and the UAE. Crude moves mainly through the Basra terminals, supplemented by the Iraq–Turkey pipeline to Ceyhan, which provides direct access to Mediterranean markets, and by new trucking routes through Syria. Over the longer term, the Grand Faw Port and the Development Road to the Turkish border aim to position Iraq as a land bridge between the Gulf and Europe, while planned pipelines to Fishkhabour and Baniyas would widen export choices further. This combination of energy scale and new corridors gives Iraq a growing range of routes to market.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Ali al-Zaidi)	Head of the executive; sets economic, investment and security policy, including diversification, banking reform and bringing weapons under state control	Primary reference point for strategic direction and major project approvals
National Investment Commission (NIC)	Cabinet-level investment authority with a One Stop Shop and provincial commissions	Standard first point of contact for licensing and incentives under Investment Law No. 13
Central Bank of Iraq (CBI)	Sets the exchange rate, manages reserves and the dollar-transfer platform, and maintains lists of restricted banks	Essential for currency, repatriation and banking-compliance matters

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Oil, Basra Oil Company and SOMO	Govern upstream contracts, field development and crude marketing, which provide around 90% of state revenue	Key counterparts for any energy, gas-capture or oilfield-services investment
Kurdistan Regional Government and Kurdistan Board of Investment	Regional authority with its own investment law, licensing body and Ministry of Natural Resources	Main channel for investment in the Kurdistan Region
Ministry of Finance	Manages the budget, public payments and state contracts during the oil-revenue recovery	Relevant for payment security on public-sector contracts
General Company for Ports of Iraq	Leads the Grand Faw Port and the first section of the Development Road	Counterpart for port, logistics and transport-corridor opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Iraq Britain Business Council and the US Chamber of Commerce's US–Iraq Business Council are the leading Western business networks, alongside the Federation of Iraqi Chambers of Commerce and the Erbil Chamber of Commerce for Kurdistan Region liaison. The National Investment Commission and the Kurdistan Board of Investment provide direct investor facilitation. Prime Minister al-Zaidi's July 2026 visit to Washington has given fresh impetus to US–Iraq economic engagement, and the US International Development Finance Corporation has more than $300 million of active investments in Iraqi energy and financial services. International energy companies such as TotalEnergies and QatarEnergy are a valuable source of practical intelligence on operating in the south.

INVESTOR PROFILE BEST SUITED

Iraq best suits experienced investors with strong compliance functions and a long-term horizon. Energy and energy-services companies can benefit from gas capture, power, field development and export-route diversification; infrastructure and logistics investors are well placed for the Grand Faw Port, the Development Road and new pipelines; and manufacturers, agribusiness and consumer-goods firms can serve a large domestic market with an exchange rate now set to favour local production. The Kurdistan Region offers an established entry point for real estate, tourism and services under a liberal investment law. All investors should budget for sanctions screening, careful choice of banking partners and secured payment structures.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and counterparty due diligence
Engage legal and sanctions counsel to screen partners, beneficial owners and banks against OFAC, UK and CBI lists before committing capital.

STEP 2: Engage the National Investment Commission or the Kurdistan Board of Investment
Open early dialogue on licensing, incentives, land and ownership terms under the relevant federal or regional investment law.

STEP 3: Secure banking and payment arrangements
Choose banks in good standing with the CBI and international correspondents, and use letters of credit or DFI support for public-sector contracts.

STEP 4: Target export-diversification and infrastructure opportunities
Track new pipelines, the Iraq–Turkey route, Grand Faw Port and the Development Road, where capacity expansion is creating demand for investment and services.

STEP 5: Build currency and continuity planning into project economics
Model the October 2026 exchange-rate adjustment, hedge dinar exposure and maintain contingency plans for regional disruption.